

Pearson Edexcel

Level 3 GCE

Practice Paper 1C (Hard)

Time: 1 hour 30 minutes | Paper Reference: **8EB0/01**

Economics B

Advanced Subsidiary

Paper 1: Markets, consumers and firms

Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and candidate number.
- Answer **all** questions.
- Answer the questions in the spaces provided – *there may be more space than you need.*

Information

- The total mark for this paper is **80**.
- The marks for **each** question are shown in brackets – *use this as a guide as to how much time to spend on each question.*
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Answer ALL questions.

SECTION A

Read the following extracts (A and B) before answering Question 1.

Write your answers in the spaces provided.

Extract A

NovaPharm Ltd

NovaPharm Ltd is a medium-sized pharmaceutical research and manufacturing company based in Cambridge. The firm specialises in the development of generic medicines, which are sold to NHS hospitals and pharmacies across the UK and internationally to over 60 countries.

Founder Dr Anita Shah established NovaPharm 22 years ago with two research scientists. In the early years, the firm spent heavily on research and development (R&D), with the result that NovaPharm operated at a loss for its first three years. Dr Shah recognised that to survive, the business would need to attract significant external investment.

Following a successful round of crowdfunding, which raised £1.2 million from over 800 individual investors, NovaPharm was able to bring its first generic medicine to market. However, the crowdfunding process required the firm to publicly disclose detailed information about its R&D pipeline, including patent applications and proposed product launches. This information was later used by a larger competitor, which launched a similar product just six months after NovaPharm.

By 2010, NovaPharm had grown to employ over 100 staff. The firm has since acquired two smaller competitors, allowing it to expand its production capabilities and product range. However, growth in the pharmaceutical industry is highly capital-intensive, and the firm faces ongoing challenges in funding new R&D projects whilst also delivering returns to its shareholders.

The pharmaceutical industry is heavily regulated. NovaPharm must comply with strict quality, safety and ethical standards, and significant time and resources are required to navigate the regulatory approval process for new medicines. The firm also faces an ongoing shortage of qualified pharmaceutical scientists, particularly in the UK, which has driven up wage costs.

Extract B

Statement of comprehensive income for NovaPharm Ltd year ending 31 December 2023

	£
Sales revenue	12 800 000
Cost of sales	7 040 000
Gross profit	5 760 000
Expenses	2 240 000
Operating profit	3 520 000
Interest and tax	880 000
Profit for the year	2 640 000
Dividends	1 100 000
Retained profit	1 540 000

1 (a) What is meant by the term 'limited liability'?

(2)

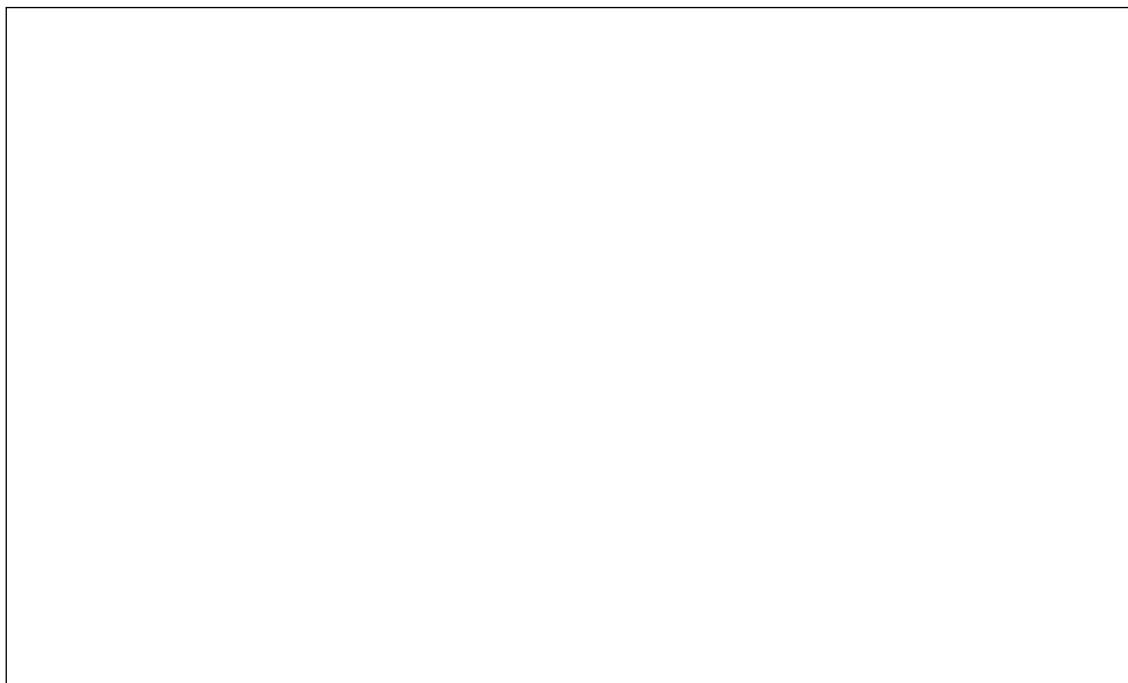
(b) Calculate, to 2 decimal places, the gross profit margin for NovaPharm Ltd for the year ending 31 December 2023. You are advised to show your working.

(4)

There is a growing shortage of qualified pharmaceutical scientists in the UK, leading to a sharp rise in wage costs across the industry.

(c) Using a supply and demand diagram, illustrate the likely impact of this shortage of skilled labour on the market for pharmaceutical products.

(4)



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(e) Assess the advantages of horizontal integration for a firm such as NovaPharm Ltd.

[illegible]

TOTAL FOR SECTION A = 30 MARKS

SECTION B

Read the following extracts (C and D) before answering Question 2.

Write your answers in the spaces provided.

Extract C

Brewing change

After being made redundant from her marketing job during the pandemic, Lily Patterson took the opportunity to pursue a long-standing dream of opening her own café. UrbanRoots Café opened in a regenerated district of Leeds in 2022, offering speciality coffee, artisan baked goods and a range of plant-based meals.

Lily made the deliberate decision to source ingredients from local suppliers and to offer customers menu items aimed at health-conscious, environmentally aware consumers. A speciality coffee at UrbanRoots costs £3.80, compared with around £2.50 at large chain competitors located nearby.

Market research indicates that demand for speciality coffee tends to be income-elastic, meaning it rises faster than incomes when economic conditions are good but falls more sharply during downturns. Lily is aware that her customer base is sensitive to changes in disposable income, and she has been carefully monitoring local economic conditions.

"My customers expect quality and care," said Lily. "If we maintain our standards and stay true to our values, I believe we can grow. But I am realistic – we are operating in a tough market, and trends in consumer tastes are changing all the time."

In recent months, social media trends have shifted away from coffee culture and towards matcha and other speciality teas. Lily is considering whether to expand UrbanRoots' menu to reflect these new tastes, though she is concerned about the financial risks of stocking new products that may or may not sell.

Extract D

Cash flow forecast for UrbanRoots Café January – April 2024

	Jan	Feb	Mar	Apr
	£	£	£	£
Cash inflow				
Sales revenue	28 500	30 200	34 800	37 500
Total cash inflow	28 500	30 200	34 800	37 500
Cash outflow				
Stock purchases	11 400	12 100	13 900	15 000
Wages	12 000	12 000	13 500	13 500
Rent and utilities	5 800	5 800	5 800	5 800
Other expenses	2 100	2 100	2 400	2 400
Total cash outflow	31 300	32 000	35 600	36 700
Net cash flow	(2 800)	(1 800)	(800)	800
Opening balance	4 200	1 400	(400)	(1 200)
Closing balance	1 400	(400)	(1 200)	(400)

2 (a) What is meant by the term 'income elasticity of demand'?

(2)

(b) Explain why UrbanRoots Café may need to arrange an overdraft facility based on its forecast for the period January to April 2024.

(4)

Recent data indicates that average household incomes in the local area have risen by 4%. Over the same period, the quantity demanded of speciality coffee at UrbanRoots Café has risen by 9%.

(c) Calculate, to 2 decimal places, the income elasticity of demand for speciality coffee at UrbanRoots Café. You are advised to show your working.

(4)

Social media trends are shifting consumer preferences away from coffee towards matcha and speciality teas.

(d) Discuss the likely impact on the demand curve for speciality coffee at UrbanRoots Café from a change in consumer tastes and preferences.

(8)

$$(12)$$

(Total for Question 2 = 30 marks)

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SECTION C

Read the following extracts (E and F) before answering Question 3.

Write your answer in the space provided.

Extract E

The UK Emissions Trading Scheme

The UK Emissions Trading Scheme (UK ETS) is a 'cap and trade' system designed to reduce greenhouse gas emissions from energy-intensive industries, including power generation, aviation and heavy manufacturing. Under the scheme, the government sets a maximum cap on total emissions, and individual firms must purchase 'permits' for every tonne of carbon dioxide they emit. Firms that pollute less than their allocation can sell their unused permits to firms that exceed theirs.

The scheme is designed to internalise the external costs of carbon emissions, creating a financial incentive for firms to invest in cleaner technologies. Revenue raised from permit auctions is used to fund decarbonisation projects and green technology research.

(Source: adapted from gov.uk)

Extract F

Carbon trading – the limits of market-based solutions

Although emissions trading is presented as a market-based solution to climate change, critics have questioned the extent to which it actually reduces overall emissions. A recent report from a leading environmental think tank found that the price of carbon permits has often been too low to drive significant changes in firm behaviour, particularly during periods of economic uncertainty when the demand for permits falls.

"When permits are cheap, polluting firms simply purchase more of them rather than investing in cleaner technology," said environmental economist Dr Priya Singh. "If governments want emissions trading to work, they need to ensure that the supply of permits is tightly controlled and that the price remains high enough to actually change behaviour."

There are further concerns about 'carbon leakage', where firms relocate production to countries with weaker environmental regulations to avoid paying for permits. This means that overall global emissions may not fall, even if UK emissions are reduced. Critics also point out that some firms have been able to use accounting techniques to overstate the emissions reductions they have achieved.

Compliance costs have also been a source of complaint. Small and medium-sized firms have argued that the administrative burden of measuring and reporting emissions is disproportionately high, and that the scheme favours large multinationals with the resources to navigate complex regulations.

Despite these concerns, supporters of the scheme argue that emissions covered by the UK ETS have fallen by approximately 35% since its introduction, suggesting the policy has had a meaningful impact. They argue the focus should be on reforming and strengthening the scheme rather than abandoning it.

(Source: adapted from various environmental and economics publications)

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